Regulatory Compliance Guidelines

1. Purpose

This document outlines the regulatory framework governing loan collection and recovery activities. All collection agents and teams must comply with these guidelines. Violations may result in regulatory penalties and disciplinary action.

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2. RBI Fair Practices Code for Debt Collection

The Reserve Bank of India (RBI) has issued comprehensive guidelines on fair practices in debt collection. Key requirements include:

Contact Rules

- Collection calls may only be made between 8:00 AM and 7:00 PM
- The borrower must be contacted at a reasonable frequency -- no harassment
- All communication must clearly identify the lender and the agent
- Collection agents must carry proper identification during field visits
- Calls must be recorded and records maintained for a minimum of 2 years

Prohibited Practices

- Use of threatening, abusive, or obscene language
- Calling on known holidays or festivals (unless pre-agreed by borrower)
- Contacting borrower at their workplace unless specifically permitted
- Disclosing debt information to unauthorized third parties
- Contacting co-applicants/guarantors before exhausting contact with primary borrower
- Using physical force or criminal intimidation
- Damaging borrower's property or reputation
- Publishing names of defaulters publicly (name-and-shame)

Borrower Rights

- Right to receive clear information about the outstanding amount and calculation
- Right to request communication in their preferred language (Hindi/English/regional)
- Right to request a statement of account at any time
- Right to file a complaint through the lender's grievance redressal mechanism
- Right to approach the Banking Ombudsman if the complaint is not resolved in 30 days
- Right to request cessation of contact during specific hours or days (with reasonable limits)
- Right to dispute the debt amount and receive a response within 14 days

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3. SARFAESI Act (Securitisation and Reconstruction of Financial Assets)

The SARFAESI Act, 2002 applies to secured loans where the outstanding is Rs 1,00,000 or above.

Applicability

- Only for secured loans (backed by collateral)
- Outstanding amount must be Rs 1,00,000 or more
- Account must be classified as NPA (DPD 90+)
- Does not apply to agricultural land

Procedure

Step 1: Issue a demand notice under Section 13(2) giving 60 days to repay
Step 2: If no payment received, take possession of the secured asset under Section 13(4)
Step 3: Issue public notice for auction/sale of the asset
Step 4: Conduct auction with a reserve price (not less than assessed value)
Step 5: Apply sale proceeds to the outstanding loan amount
Step 6: Return any surplus to the borrower

Borrower's Right Under SARFAESI

- The borrower can make a representation within 60 days of the demand notice
- The borrower can file an application with the Debt Recovery Tribunal (DRT)
- The lender must respond to the representation within 15 days

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4. Lok Adalat and Debt Recovery Tribunal (DRT)

Lok Adalat

- For cases with outstanding up to Rs 20,00,000
- Encourages negotiated settlement between lender and borrower
- Decisions are binding and non-appealable
- No court fee required
- Typically faster resolution (1-3 months)

Debt Recovery Tribunal (DRT)

- For cases with outstanding above Rs 20,00,000
- Formal legal proceedings with evidence and arguments
- Decision can be appealed to Debt Recovery Appellate Tribunal (DRAT)
- Typical resolution timeline: 6-18 months
- Court fee applicable based on claim amount

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5. Data Privacy and Confidentiality

Credit Bureau Reporting

- Delinquency must be reported to all credit bureaus (CIBIL, Experian, Equifax, CRIF High Mark)
- Reporting frequency: Monthly
- Reporting must be accurate and timely
- Any dispute raised by borrower must be investigated and resolved within 30 days
- After settlement/closure, bureau records must be updated within 30 days

Data Protection

- Borrower's personal and financial data must be treated as strictly confidential
- Data sharing with third parties (collection agencies) requires borrower consent or contract
- All digital communications must be encrypted
- Physical documents must be stored securely and destroyed as per retention policy
- Collection agents must not store borrower data on personal devices

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6. External Collection Agency Guidelines

When outsourcing collection to external agencies:
- Agency must be empanelled and approved by the bank's board
- Agency staff must be trained on RBI fair practices code
- Agency must maintain call recordings and visit logs
- Bank retains responsibility for the agency's conduct
- Regular audits of agency practices must be conducted quarterly
- Complaints against agency must be handled by the bank's grievance mechanism
- Agency fees: Typically 5-15% of recovered amount based on DPD bucket and loan type

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7. Documentation Requirements

All collection activities must be documented:
- Phone calls: Date, time, duration, summary, outcome, recording reference
- SMS/Email: Timestamp, content, delivery status
- Letters: Date sent, mode of dispatch, tracking number
- Field visits: Date, time, location, agent name, borrower response, photos (if applicable)
- Legal notices: Date, content, dispatch mode, acknowledgment receipt
- Settlement discussions: Terms proposed, borrower response, approval chain
- All documents must be retained for a minimum of 8 years after account closure